

		Plaintiff must provide an estimate of the hours spent participating in this litigation. Plaintiff to give notice of this Court's ruling, including to the LWDA, within five (5) court days, and file proof of service.
103	Zetterberg vs. Lyon Management Group, Inc. 2025-01473737	Motion for Preliminary Approval of Class Settlement The court has reviewed and considered the papers filed in support of plaintiff's motion for preliminary approval of a data breach class action settlement with consideration consisting of (1) Two years of credit monitoring and identity theft protection valued at approximately \$648 per enrollee; (2) Up to \$3,000 in Documented Loss reimbursement per claimant; (3) Alternative Cash Payments of \$75 for California residents and \$50 for all others, without documentation; and (4) Business Practice Commitments establishing improved information security measures, paid separately and apart from the claims fund. The maximum cash amount available for claims is \$400,000. The court has the following questions and comments: <u>As to the settlement:</u> 1. Plaintiff has failed to provide any case-specific valuation analysis. Conclusory assertions that the settlement is fair are insufficient for the court to conclude the settlement is fair, adequate, and reasonable, and in the best interests of the class members. For example, plaintiff does not include a discussion of any specific valuation (including any applicable discounting) of the claims alleged. Plaintiff must provide specific information sufficient for the court to evaluate whether the consideration being received for the release of the class members' claims is reasonable in light of the strengths and weaknesses of the claims and the risks of the litigation. The valuation should also include, among other things, the basis for the credit monitoring valuation and a quantified valuation of the "Business Practices Commitments." 2. The request for administration costs must be supported by

		a quote or invoice, and the settlement (§ 56) should specify the not-to-exceed amount. 3. The court prefers a 180-day period for class members to cash their checks. §§ 49, 51. Are there unique circumstances here that warrant a shorter period? 4. The settlement provides for redistribution of funds from uncashed checks “if economically feasible, or, if not feasible, distributed to the Electronic Privacy Information Center.” § 52. Who decides if it is “economically feasible” and what are the factors that will be considered? Additionally, all parties must disclose any prior or existing relationship with the Electronic Privacy Information Center or confirm no such relationships exist. 5. The court will not require class members to release their claims before defendant has fully funded the settlement. See §§ 12 (“Effective Date”), 48 (“Payment”). 6. The “Released Claims” provision in the settlement agreement is overbroad. §§ 27, 68. The release must be fairly tailored to the claims that were or reasonably could have been asserted in the lawsuit based on the facts alleged in the operative complaint. <i>The following language appears particularly untethered to the incident in question: “...Defendant's information security policies and practices, or Defendant's maintenance or storage of Personal Information....”</i> 7. The “Released Parties” provision is overbroad. § 28. It includes unidentified, unrelated and/or ambiguous third parties that should be removed, including “agents, insurers, reinsurers, shareholders, attorneys, advisors, consultants, representatives, partners, joint venturers, independent contractors, wholesalers, resellers, distributors, retailers, vendors and related or affiliated entities of any nature whatsoever, whether direct or indirect, as well as any and all of Defendant's and these entities' respective predecessors, successors, officers, directors, employees, advisors, vendors, stockholders, partners, agents, attorneys, representatives, insurers, reinsurers, subrogees and assigns.” 8. The court will not require class members to “fil[e]written objections with the Court” in addition to mailing or emailing objections to the administrator by the Objection Deadline even if plaintiff had provided such filing instructions, which
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it has not. ¶¶ 19, 21, 58.

9. Plaintiff's counsel must disclose whether counsel has any fee-splitting arrangement with any other counsel, including the exact percentages, or confirm none exists. Cal. R. Ct. 3.769(b).
10. In the event the total value of cash claims is less than \$400,000, it appears defendant retains the residual. The settlement provides for no reversion to defendant (¶ 44), but the "residual funds" relate only to uncashed settlement payments issued to Participating Settlement Class Members. ¶¶ 31, 52. Why should the "residual funds" not include any amount in excess of the total cash amount distributed to Participating Settlement Class Members?
11. Plaintiff should state her anticipated total compensation to be received (including for any individual settlement and excluding any enhancement award). If plaintiff entered a separate individual settlement, plaintiff should submit a copy for the court's review.
12. Defendant should advise, in a declaration filed with the court, whether, after making reasonable inquiry, it is aware of any class or other action in any court that asserts claims similar to those asserted in this action. If any such actions are known to exist, the declaration shall also state the name and case number of any such case and the procedural status of that case, and describe the impact of the settlement on that case.
13. The "short" notice form must be final prior to final approval and may not be changed prior to mailing. ¶ 54. The following should be deleted from the settlement: "The Settlement Administrator shall have discretion to format the Short Form Notice in a reasonable manner to minimize mailing and administrative costs." Id.

As to the claim form (ROA 74 Ex. C):

14. The claim form should be revised consistent with the above.

As to the "long" notice (ROA 74 Ex. B):

15. The notice should be revised consistent with the above.
16. There appears to be a formatting and/or font issue throughout as the text is distorted.

		17. "Defendants" should be singular. At 2. 18. As above, objections will not require "writing to the court." At 2. It should also state a class member may also appear at the final approval hearing and make any objections. Id. The phrase "may also file a claim" should be changed to "may also submit a claim." Id. 19. The sentence "If you do nothing..." should be revised to "However, if you fail to submit a claim..." At 2. 20. Insert "finally" before "approve" in the second bullet on page 2. 21. In § 4, change "are" to "is" in the first sentence. Change "best" to "fair" in the third sentence. 22. In § 5, change "has defined the Class this way..." to "has preliminarily certified the following Class..." 23. Explain what happens if the total value of claims is under \$400,000. § 7. 24. Section 8 should summarize and describe the release, consistent with the above. 25. Section 12 should state the court has "preliminarily approved" not "appointed." 26. All amounts in section 14 should indicate they are not-to-exceed amounts. This section should also make clear the requested amounts will not be deducted from, but are in addition to, the maximum cash amount provided to pay claims. 27. Section 15 instructs that either the form or a written request may be used. It further instructs that the request be mailed. It then states the request may be "submitted, postmarked, or emailed," but only provides a physical address. Id. These instructions are unclear. The accepted methods of submission must be clearly identified, including any address to which it may be emailed. 28. Section 16 should not reference "A Request for Exclusion / Opt-Out Form..." What are the accepted methods for submitting objections? The instructions indicate only mail. Id. This should also inform class members they may appear at the final approval hearing and make an objection in lieu of or in addition to submitting a written objection. 29. Section 18 must identify the correct address and
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		department number of the court. 30. The sentence "The court will also decide how Class Counsel should be paid, and whether to award a Service Award Payment to the Class Representative" in section 18 should be revised. It should state the court will determine the amounts of the requested disbursements for attorneys' fees and costs, the service award for plaintiff, and the costs of administration. 31. The notice should inform class members how they will be notified when final judgment is entered and that all case documents will be available until at least 180 days after judgment is entered by the court. <u>As to the "short" notice (ROA 74 Ex. A):</u> 32. The short notice should be revised consistent with the above. 33. The section "Who is included in the Settlement?" should be revised. The sentence "The Court has appointed experienced attorneys, called 'Class Counsel,' to represent the Class" Should be revised to state "The Court has preliminarily approved attorneys, called 'Class Counsel,' to represent the Class." 34. The section "What are the Settlement benefits?" should disclose the maximum cash available to pay all claims for losses and alternative cash payments and that unclaimed funds will be redistributed pro rata to participating class members. 35. The "How do I receive a benefit" section is unclear. It should state that in order to receive any benefits, the submission of a claim form is required, it must be obtained from the website, and submitted before the deadline. If the class member cannot obtain it from the website, s/he must call to obtain the necessary paperwork. Additionally, the reference to "a full paper Claim Form" is confusing. The notice packet implies that all documents will be available for download or email transmission in electronic form. If that is correct, clearly state it. 36. The "What if I don't want to participate in the Settlement?" section should remove the sentence "The Settlement Agreement, available online, explains how to exclude yourself or object." This sentence should be replaced with a sentence explaining the settlement website contains forms and instructions to exclude yourself from or
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		object to the settlement. 37. The section “When will the Court approve the Settlement?” should be revised. It should include “up to” with respect to plaintiff’s service award and specify it is for a service award as class representative. Additionally, the not-to-exceed administrative cost (\$14,500) should be included. <u>As to the request for exclusion and objection forms (ROA 74 Exs. F-G):</u> 38. Both forms should provide instructions as to how completed forms may be submitted. <u>As to the proposed order for preliminary approval (ROA 74 Ex. D):</u> 39. The proposed order should be revised consistent with the above. 40. Remove counsel information from the caption page. 41. Provide the document title adjacent to the case caption. 42. The proposed order granting preliminary approval is not a “judgment.” 43. The settlement agreement and any amendments thereto should be identified and attached as exhibits. 44. Paragraph 5 should include the approval of the administration costs. 45. Paragraph 6 is inconsistent with the settlement, which provides for a different administrator. 46. Paragraph 6 should identify the notice and all forms, including the Spanish and any other translations, and documents should be attached as exhibits. 47. Delete paragraphs 9-10. 48. Delete “or its substantial equivalent” and the entire last sentence in paragraph 11. 49. Delete paragraphs 12-13. 50. Delete the second sentence in paragraph 15. 51. Delete paragraph 16 (including the table). 52. Add a paragraph including a proposed date for a final
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	approval hearing, and the following: "A Final Approval hearing shall be held with the Court on _____, 2026, at 2:00 p.m. in Department CX102 of the above-entitled Court to determine: (1) whether the proposed settlement is fair, reasonable and adequate, and should be finally approved by the Court; (2) the amount of attorneys' fees and costs to be awarded to Class Counsel; (3) the amount of any service award to the Class Representative; and (4) the amount to be paid to the Settlement Administrator." 53. Add a paragraph stating: "All papers filed in support of final approval, including supporting time entries and invoices for attorneys' fees and costs, shall be filed at least 16 court days prior to the Final Approval hearing." 54. Add a final paragraph stating: "The court orders the parties and the Settlement Administrator to administer the settlement in accordance with the terms of the Settlement Agreement." <u>As to the proposed order for final approval (ROA 74 Ex. E):</u> 55. This has not and will not be reviewed unless and until the settlement proceeds to the final approval stage. The hearing on plaintiff's motion for preliminary approval of a class action settlement is continued to September 24, 2026, at 2:00 p.m. in Department CX102 to permit the parties to address and respond to the above issues. A supplemental brief shall be filed at least 16 court days before the hearing and shall address as necessary each of the above points. <u>If required, an amendment to the settlement agreement is directed, rather than "amended settlement agreement," to streamline the court's review.</u> The parties shall also provide redlined copies of all revised documents, including all settlement provisions revised by way of amendment. Plaintiff is ordered to provide notice and to file a proof of service.
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